



Reaching for influence: Do banks use loans to establish political connections? [☆]

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ABSTRACT

Using close elections as an empirical setting, this paper examines the drivers and consequences of politically motivated lending by U.S. banks, with a special focus on resulting benefits. We first show that firms with ties to members of Congress receive more favorable loan terms, despite no observable improvements in performance or default risk. The effect is especially pronounced among banks facing regulatory challenges — such as FDIC enforcement actions, corporate misconduct investigations, or low Community Reinvestment Act ratings — which also lend more frequently to connected firms, suggesting that these institutions have a heightened demand for political influence. Crucially, we find that politically motivated lending produces tangible future benefits for banks, including reduced misconduct penalties and easier approval for mergers and acquisitions. These findings provide evidence of a *quid pro quo* dynamic: banks extend preferential credit to firms with political connections and, in turn, receive regulatory advantages.

1. Introduction

The ability to shape political processes is an important asset for many businesses. The literature on corporate pursuit of political influence has so far focused mainly on campaign contributions and lobbying, expenses that are relatively easy to observe due to disclosure rules. This prior work, however, presents a major puzzle: spending on such activities is dwarfed by the magnitude of potential benefits that they bring to the firm (Ansolabehere et al., 2003). This discrepancy suggests that either political spending is ineffective, and thus firms do not engage in it much, or directly measurable expenditures do not represent the entirety of corporate investment in affecting political decisions.

This paper investigates the use of bank lending as a tool for acquiring political influence.¹ We show that U.S. banks offer more favorable

loan terms to firms connected to members of Congress — advantages not justified by firm fundamentals — extending the literature on politically motivated lending from weak institutional settings to the U.S. context.² The prevalence and magnitude of preferential lending are especially pronounced among banks facing regulatory challenges, consistent with the hypothesis that vulnerable banks seek support from office-holding politicians. In turn, political influence gained by banks through such lending produces tangible subsequent benefits, including reduced future misconduct penalties and increased mergers and acquisitions (M&A) activity. This evidence of a *quid pro quo*, which identifies banks that engage in politically motivated lending and the ensuing advantages they receive, constitutes a key contribution of our study. Our findings suggest that banks use preferential lending not just to support political allies, but as a strategic investment in

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¹ Banks are among the most politically active entities in the U.S. Just in the 2016 election cycle, commercial banks contributed \$48 million dollars to political campaigns and spent \$130 million dollars on lobbying.

² See Khwaja and Mian (2005) for evidence from Pakistan, Claessens et al. (2008) from Brazil, Infante and Piazza (2014) from Italy, and Agarwal et al. (2016) from Mexico.

political capital that yields measurable returns. This mechanism operates as a distinct and complementary channel to traditional forms of political engagement, such as lobbying (Lambert, 2019) and connections to politicians (Akey et al., 2021), which banks also employ to avoid regulatory scrutiny.³

We define a firm as linked to a politician if it made a contribution to that politician's election campaign. A major challenge in studying the impact of political connections is that they are endogenous. For example, high-quality firms may invest more in establishing relationships with politicians, leading to a spurious relation between political connections and credit terms. To address this endogeneity issue, we follow Akey (2015) (see also Akey and Lewellen, 2017, and Borisov et al., 2015) and focus our analysis on close elections, defined as those in which the victory margin is less than 5%. The key assumption underpinning this approach is that the outcome of a close election has a random component and consequently constitutes an exogenous change in a firm's political network.

We begin by showing that banks grant lower interest rates on new loans to firms with political connections. In our most comprehensive regression specification, which includes firm fixed effects, a one-standard-deviation increase in net wins (defined as wins minus losses in close elections for connected politicians) results in a decrease of 7.4 basis points (bps) in the loan interest rate.⁴ This represents a 5.2% reduction relative to the sample mean and lowers annual interest expenses by \$146,789, which is more than 29 times the maximum direct annual contribution to a politician of \$5000.

We establish the robustness of this relation through a variety of tests, including stacked difference-in-differences (DiD) regressions (addressing the potential bias identified by Goodman-Bacon, 2021), placebo tests, and subsample analysis. We further find that it is driven by politicians who sit on important congressional committees and who count the firm among their top campaign contributors, consistent with the hypothesis that connection importance and strength matter. The improvement in loan terms extends beyond interest rates; new bank loans to connected firms are also larger and burdened with fewer covenants.

We next explore banks' motivations for preferential lending to connected firms, such as potential benefits arising from ties to politicians, which is the principal contribution of our study. The findings above suggest that developing congressional political connections improves a firm's loan terms. However, they do not necessarily show that the more advantageous terms stem from banks' desire to please and obtain favors from politicians. It is also possible that political networks lead to improved firm fundamentals and that banks simply grant better loan terms in response.

It is not easy to distinguish between these two channels, which are not mutually exclusive and can operate at the same time. As our first step, we show that in our sample, which comprises firms linked to politicians in close elections that obtain new loans documented in DealScan, increases in political connections do not lead to better operating performance or lower default probabilities (as the improved-fundamentals channel would predict).

We then provide evidence consistent with the bank-centered channel by focusing on banks' demand for political favors. If banks offer preferential lending in order to develop relationships with politicians supported by borrowing firms, the effect of political connections on loan terms should be greater for banks that have higher demand for political influence. One set of such banks may be those that previously faced high levels of Federal Deposit Insurance Corporation (FDIC) enforcement actions, as politicians can help resolve regulatory issues, alleviate their consequences, or avoid future adverse actions. We find

that political connections are more important for these banks, which grant significantly greater reductions in interest rates for firms linked to winning politicians (each FDIC action is associated with an extra 4.3% decrease per net win relative to the sample mean). The relation between net wins and the loan interest rate is also stronger for banks that incurred higher penalties for various forms of corporate misconduct (an extra per-net-win decrease of 3.0% for each \$100 million). Bank demand for political influence was likely greater during the period surrounding the passing and enactment of the Troubled Asset Relief Program (TARP), when many banks were in need of capital assistance or regulatory relief from the Federal government. Our analysis shows that the impact of political connections is indeed much stronger (an extra 6.2% decrease per net win relative to the sample mean) during this period.

Having established that banks with higher potential benefits from political influence offer greater interest rate reductions to politically connected firms, we investigate whether this effect extends to propensity to provide loans and find support for this hypothesis. More specifically, past FDIC enforcement actions, violations for corporate misconduct, and poor Community Reinvestment Act (CRA) ratings lead banks to issue more loans to firms associated with winning politicians. The effect is economically meaningful in all three cases, with a one-standard-deviation increase in the relevant measure resulting in a rise in the proportion of politically motivated loans of 18.1%, 18.1%, and 26.3% relative to the sample mean, respectively.

If banks achieve political influence through preferential lending and this influence is valuable, they should reap benefits as a result. We present various evidence supporting this hypothesis. First, we study penalties for corporate misconduct violations pursued by U.S. federal agencies and the Department of Justice. Banks that lend to politically connected firms pay lower total and average penalties: each additional net win by a banks' borrowers leads to total (average) penalties that are \$31.1 (\$1.7) million lower, a 3.1% (3.9%) decline relative to the sample mean. We further show that such lending is positively related to future mergers and acquisitions (11.0% increase per net win relative to the sample mean), possibly reflecting an easier route to regulatory approval for connected banks. Robustness tests, in which we split the sample into pre- and post-2004 periods and winsorize the dependent variable, confirm these findings. Overall, our *quid pro quo* evidence identifies tangible benefits for connected banks, which is striking given that many advantages of political influence are difficult to observe (such as insurance against rare shocks).

Related Literature

Our study contributes to the literature on how and why political considerations shape lending activity. In a U.S. setting, Houston et al. (2014) find that firms whose boards include current or former important legislative or executive branch officials enjoy lower-cost bank loans. While this result is similar to our findings, firms do not randomly choose their board members, raising potential endogeneity concerns. Such concerns may be less acute for our approach that uses close elections, which presumably have a random component, to measure changes in (rather than the existence of) political connections. Furthermore, Houston et al. (2014) do not examine the strength of political connections, bank demand for political favors, and the benefits banks enjoy from loans to connected firms. Consequently, they do not provide evidence supporting the hypothesis that banks use preferential lending as a tool for political influence or identify the ensuing benefits.

Other papers explore the relation between political connections and lending outside of the U.S. Khwaja and Mian (2005) show that Pakistani firms with political insiders as directors receive larger bank loans despite suffering higher default rates. Government banks fully drive this relation, with private banks avoiding preferential lending to connected

³ See also Igan et al. (2012) and Igan and Lambert (2019).

⁴ We thank the referee for the suggestion to add firm fixed effects to our model.

firms.⁵ Claessens et al. (2008) document that firms in Brazil that make campaign contributions increase leverage after elections. Similarly to Khwaja and Mian (2005), government-owned banks play a key role in explaining this result. Brazilian firms eligible for public funding boost employment in politically important regions near elections, receiving favorable loans from government banks in return (Carvalho, 2014). Infante and Piazza (2014) find that Italian firms with local political links enjoy lower loan interest rates, with the relation especially pronounced in regions where corruption is higher and for banks with politicians on their boards. Agarwal et al. (2016) use changes in Senate committee membership in Mexico to establish that political connections lead to more advantageous loan terms. The effect is particularly strong for lending by banks that have a high level of public loans on their balance sheets, consistent with the hypothesis that government-exposed banks are more likely to engage in preferential lending. Such banks also extend more and better public loans in politically influential states.

Our paper differs from these studies in two crucial respects: (i) we provide suggestive evidence of a *quid pro quo*, where preferential lending by private banks is related to their demand for political influence and leads to subsequent regulatory benefits; and (ii) capital markets and institutions are more developed in the U.S., which also has lower levels of corruption. Moreover, our identification strategy based on close elections allows for potentially cleaner estimation of the causal effect of political connections.

Lambert (2019) finds that banks engaging in lobbying face a lower likelihood of severe enforcement actions. These banks exhibit higher risk exposure and lower profitability relative to their non-lobbying counterparts, consistent with regulatory capture (see also Igan and Lambert, 2019). Lobbying banks are also more likely to win FDIC auctions, which impose greater losses on the government (Igan et al., 2022). Similarly, banks that lobby or possess political connections were more likely to receive TARP funds, which were disbursed earlier and in larger amounts (Blau et al., 2013; Duchin and Sosyura, 2012). In the run-up to the 2008–2009 financial crisis, lobbying was associated with riskier mortgage origination, greater securitization, and faster credit expansion; the affected banks experienced greater distress during the crisis and were more likely to benefit from TARP assistance (Igan et al., 2012). Akey et al. (2021) show that when a bank's home-state senator gains a powerful committee chair position, the bank reduces credit access, particularly in neighborhoods subject to fair-lending regulations (e.g., the CRA). This shift is consistent with the hypothesis that banks expect political protection, allowing them to reduce regulatory compliance costs. Collectively, these papers demonstrate that banks participate directly in political processes in order to secure regulatory advantages. Our study identifies preferential lending to connected firms as a complementary mechanism through which banks pursue lenient regulatory treatment.

Bertrand et al. (2020) document charitable giving as an alternative mechanism, beyond political contributions and lobbying, that firms use to boost their relationships with politicians. French CEOs with political links alter employment decisions to boost reelection prospects of regional politicians (Bertrand et al., 2018), despite these efforts not being associated with any observable benefits to their firms. State-level elections in Germany that lead to a change in the senior governing party are associated with increases in lending by local savings banks to the regional government (Koetter and Popov, 2021). Numerous newspaper and public investigations focus on hiring as another tool for fostering

political connections, with former and future political insiders serving on boards or in executive functions. Our results establish an additional channel — lending to politically connected firms — that banks use to achieve political influence.

Chavaz and Rose (2019) document that banks receiving TARP funds expand mortgage and small business lending in their congressional representative's district compared to outside areas, accompanied by looser underwriting standards and poorer mortgage performance. These findings suggest that government-supported banks face political pressures and respond by increasing lending.⁶ Our study shows that banks also engage in strategic lending to firms with political connections as a means of obtaining regulatory forbearance.

Prior work finds that political connections increase businesses' ability to secure government funds through bailouts (Faccio et al., 2006; Duchin and Sosyura, 2012; Blau et al., 2013) and crisis-era stimulus funds (Adelino and Dinc, 2014), benefit from various forms of government spending (Amore and Bennedsen, 2013; Tahoun, 2014; Goldman et al., 2009; Brogaard et al., 2021; Schoenherr, 2019), and enjoy better credit availability by government-controlled banks (Khwaja and Mian, 2005; Claessens et al., 2008).⁷ The findings in our paper highlight that the benefits of political connections extend beyond better access to government resources; connected firms also receive preferential treatment from banks that value their political influence.

The rest of the paper is organized as follows. Section 2 describes our data and gives summary statistics. Section 3 discusses the identification strategy used in our tests. Section 4 examines the relation between changes in political connections and loan interest rates. Section 5 explores the possible mechanisms driving preferential lending, with a special focus on the benefits accruing to banks. Section 6 contains robustness tests, and Section 7 concludes.

2. Data and summary statistics

This section describes our data sources and main variables. Our sample covers the period from 1992 to 2016. (We start in 1992 because the syndicated loan data in DealScan has limited coverage prior to this year.)

2.1. Campaign contributions

Firms in the United States contribute to politicians through legal entities called Political Action Committees (PACs). Firms first create their own PAC ("Company PAC"), which often has a name resembling that of the company itself. The Company PAC can solicit voluntary contributions of up to \$5000 per year from key firm employees, shareholders, and their families, and then use the proceeds to make political

⁵ A number of studies show that political factors impact lending by government-owned banks. For example, government banks increase lending relative to private banks in election years (Dinc, 2005); lending activity of Italian state-owned banks depends on election results (Sapienza, 2004); and performance differential between government and private banks widens in election years (Micco et al., 2007). Together, these findings are consistent with the framework in Shleifer and Vishny (1994), where politicians use state-owned enterprises to pursue private objectives.

⁶ Conversely, political considerations may induce policymakers to treat banks favorably. Liu and Ngo (2014) find that bank failures are substantially less likely in the 12 months preceding U.S. gubernatorial elections, an effect they attribute to electoral incentives.

⁷ More generally, Cooper et al. (2010) shows that the number of candidates that a firm supports is positively correlated with the firm's future abnormal returns. Akey (2015) finds that firms linked to winning politicians in close elections enjoy positive abnormal returns. Similarly, Faccio and Parsley (2009) show that sudden politician deaths lead to negative returns of firms from the same hometown, while Goldman et al. (2009) document that Republican-linked firms outperformed Democrat-linked ones when George W. Bush was elected President. Political connections have an especially strong impact on firm valuations in less-developed markets with weaker institutions (see Fisman, 2001, for evidence from Indonesia; Johnson and Mitton, 2003, for evidence from Malaysia; Faccio, 2006, for cross-country evidence; and Ferguson and Voth, 2008, for evidence from the Weimar period in Germany).

donations.⁸ Politicians cannot directly receive donations from Company PACs, but instead also have to establish a PAC (“Election PAC”), which raises and spends funds for their electoral campaigns.⁹ Prominent politicians can further create a “Leadership PAC”, which is allowed to cover a wider range of expenditures than Elections PACs (for example, travel not directly related to an election campaign) and also to make donations to other politicians. Company PACs can thus donate to politicians directly through their PACs (Election and Leadership) or indirectly through another politician’s Leadership PAC as well as party committees.

All contributions from Company PACs are reported to the Federal Election Commission (FEC), which makes them publicly available through the FEC website or other data vendors. We obtain campaign contributions data for federal elections (both for the House and the Senate) during the 1992–2016 period from the Center for Responsive Politics website at <http://www.opensecrets.org>, which captures all donations, direct or indirect, from Company PACs to politicians. We then use this data to construct a measure for connections between firms and politicians, where a politician is linked to a firm if in a given election cycle he received its direct or indirect contributions. Finally, we manually match the firms with contributions to Compustat.

2.2. Election results

We obtain data on congressional election results from the FEC. In cases where election results are not available through the FEC database or are not converted to a readable data format, we manually collect the records from various news sources. We use the percentage of votes received by every candidate to identify close elections in each cycle, which we define as those that are decided by a victory margin, the difference in the vote share of the winner and the runner-up, of less than 5%.¹⁰ (We explain in the next section why our analysis focuses on close electoral contests.) Our principal independent variable is *Net wins*, which is the difference between the number of winning and losing candidates in close elections who are connected to a firm in an election cycle. More formally:

$$Net\ wins_{i,t} = Number\ of\ Wins_{i,t} - Number\ of\ Losses_{i,t}, \quad (1)$$

where i and t index firm and election cycle, respectively.

2.3. Loan-level data

We use the Thomson-Reuters DealScan as the main data source for loan-level data. DealScan is a widely used bank loan dataset that covers loans with a total value exceeding \$200 trillion. For each loan, we extract information about its interest rate (as a spread above LIBOR), amount, maturity, covenants, and purpose, as well as lender identities and the loan share and role of each syndicate participant. DealScan covers both single-lender loans and syndicated loans. When loans are syndicated, we use the weighted average interest rates across all loans (facilities) in a given package (collection of facilities) as the representative interest rate for the whole package. We apply a similar method to loan maturity. The loan amount for syndicated loans is the sum of the loan amounts for all facilities included in the package. We compute

⁸ The Supreme Court 2010 decision in the *Citizens United v. Federal Elections Commission* case relaxed government restrictions on political expenditures, leading to an explosion of so-called “Super PACs”. These PACs can raise unlimited contributions and can sometimes avoid disclosing their donors. Since it is thus difficult to match Super PACs to specific donors, we do not include them in our analysis.

⁹ The Federal Election Commission limits the amount that a Company PAC can contribute to an Election PAC to \$5000 per year.

¹⁰ Such races are the exception rather than the rule in U.S. congressional elections, a large majority of which are won by significant margins or are uncontested.

the covenant index using the approach similar to Bradley and Roberts (2015).

We collect data on firm and bank characteristics from Compustat and Bank Compustat, respectively. DealScan and Compustat firms are matched with two complementary methods. First, we use the table provided by Chava and Roberts (2008), and second, we complement it with manual matching of loan deals to firms, which adds approximately 2000 loans to our sample. To obtain bank-level data, we match DealScan lenders to the Bank Compustat database using the matching table compiled by Schwert (2018) and made available through Wharton Research Data Services.

2.4. Other variables

The Federal Deposit Insurance Corporation (FDIC) has statutory authority to take enforcement actions against the following types of institutions or individuals: (1) FDIC-insured state chartered banks that are not members of the Federal Reserve System, (2) state-chartered savings associations, (3) branches of foreign banks that are insured by the FDIC, and (4) officers, directors, controlling shareholders, employees, agents, and other individuals or parties affiliated with the above institutions. The FDIC can pursue enforcement actions against the above entities for various reasons, including violating laws, regulations, or rules; engaging in banking practices that are deemed unsafe or unsound; breaching their fiduciary duties; violating final orders; and similar issues. We collect data on actions against banks from FDIC Enforcement Decisions and Orders (ED&O) database, available at <https://orders.fdic.gov/s/>. For financial institutions supervised by the FDIC, this database contains the universe of all formal enforcement actions against them and their institution-affiliated parties. The data is updated monthly and reports final orders as well as notices of charges.

We obtain data on corporate misconduct from Violation Tracker, available at <https://violationtracker.goodjobsfirst.org>, and manually match it to our sample of banks. The data covers banking, consumer protection, false claims, environmental, wage and hour, safety, discrimination, price-fixing, and other cases resolved by federal regulatory agencies and the Department of Justice. The coverage begins in 2000 and includes each violation and the resulting penalty. We calculate the total number of violations, the total penalties incurred (adjusted to avoid double counting), and the average penalty for each bank in the sample in each electoral cycle.

Information on banks’ CRA exam ratings comes from the Federal Financial Institutions Examination Council. There are four CRA ratings: 1 equals “outstanding”, 2 equals “satisfactory”, 3 equals “needs to improve”, and 4 equals “substantial noncompliance”. The ratings are based on “a financial institution’s performance in helping to meet the credit needs of its community”, which “is evaluated in the context of information about the institution (capacity, constraints and business strategies), its community (demographic and economic data, lending, investment, and service opportunities), and its competitors and peers”. As with the FDIC and misconduct data, we use manual matching to add this data to our sample.

Bank mergers and acquisitions data is from the Federal Reserve Bank of Chicago, available at <https://www.chicagofed.org/banking/financial-institution-reports/merger-data>. It covers all bank and bank holding company M&A activity since 1976.

2.5. Summary statistics

Table 1 provides summary statistics for the variables in our study. Each observation represents a loan that was issued to a firm connected to a politician who participated in a close election. We only include loans that are issued after the close election and before the next election. Panel A shows that the average number of close election wins (losses) is 3.01 (1.91), suggesting firms in our sample are quite politically active (close elections are relatively rare events). Summary

Table 1
Summary statistics.

PANEL A: FIRM- AND LOAN-LEVEL VARIABLES							
Variable	Mean	Median	Std. Dev	Min	Max	N	
Wins	3.01	2.00	3.76	0.00	39.00	859	
Losses	1.91	1.00	2.48	0.00	26.00	859	
Net wins	1.10	1.00	2.59	−6.00	13.00	859	
Loan interest rate (bps)	142	125	110	15	600	859	
Loan amount (MM)	199	110	283	3	3,613	859	
Loan maturity (months)	49	60	19	12	108	859	
Covenants	0.13	0.00	0.33	0.00	1.00	859	
Synd. size	9.00	6.00	10.09	0.00	54.00	859	
Size (BN)	21.45	8.56	48.70	0.25	809.57	859	
Market to book	1.15	1.12	0.60	0.00	6.38	859	
Profitability	0.09	0.08	0.07	−0.25	0.42	859	
Leverage	0.33	0.32	0.17	0.00	1.21	859	
CapEx	0.06	0.05	0.05	0.00	0.39	859	
Tobin's Q	1.58	1.35	0.79	0.69	9.69	859	
Cash holdings	0.07	0.04	0.10	0.00	0.71	859	
Credit rating	1.80	2.00	0.46	1.00	4.00	859	
Operating income	0.14	0.12	0.08	−0.13	0.52	859	
EBIT (BN)	1.41	0.63	2.84	−13.25	37.45	859	
Sales (BN)	12.92	6.01	21.41	0.16	191.98	859	
Z-Score	1.89	0.83	3.36	−10.57	27.72	797	
PANEL B: BANK-LEVEL VARIABLES							
	Mean	Median	Std. Dev	Min	Max	N	
Bank size (BN)	1027.46	723.86	879.50	9.70	3641.09	244	
Bank deposits (BN)	521.52	382.44	430.50	7.74	1667.94	244	
Bank net income (BN)	5.48	3.54	6.28	−9.72	24.59	244	
Bank leverage	0.21	0.21	0.08	0.07	0.44	244	
Previous FDIC actions	0.04	0.00	0.29	0.00	4.00	244	
Violations	5.73	0.00	9.73	0.00	43.00	244	
Average penalty (MM)	43.83	0.00	131.37	0.00	837.31	244	
Total penalties (MM)	995.97	0.00	3298.33	0.00	19580.94	244	
Previous CRA rating	1.45	1.00	0.53	1.00	3.00	101	
Mergers & acquisitions	0.20	0.00	0.85	0.00	7.00	244	
Share connected loans	0.43	0.29	0.45	0.00	1.00	244	
Total net Wins	2.74	1.00	7.00	−15.00	58.00	244	
Panel C: Wins							
	Mean	Median	Std. Dev.	Min	Max	N	
Tercile 1	Loan interest	171	150	126	18	600	362
	Loan amount	142	80	254	3	3614	362
	Loan maturity	50	60	19	12	108	362
	Covenants	0.18	0.00	0.37	0.00	1.00	362
	Synd. size	7.04	2.49	8.97	0.00	39.20	362
Tercile 2	Loan interest	142	125	101	15	600	260
	Loan amount	195	111	242	8	1250	260
	Loan maturity	49	60	19	12	108	260
	Covenants	0.13	0.00	0.32	0.00	1.00	260
	Synd. size	8.82	7.80	9.85	0.00	54.00	260
Tercile 3	Loan interest	97	80	75	15	455	237
	Loan amount	290	200	340	3	2750	237
	Loan maturity	48	60	19	12	84	237
	Covenants	0.07	0.00	0.58	0.00	1.00	237
	Synd. size	12.19	13.00	11.14	0.00	46.71	237
Panel D: Net wins							
	Mean	Median	Std. Dev.	Min	Max	N	
Tercile 1	Loan interest	163	138	122	15	600	371
	Loan amount	194	103	294	3	3614	371
	Loan maturity	48	60	21	12	108	371
	Covenants	0.17	0.00	0.36	0.00	1.00	371
	Synd. size	7.79	3.00	9.74	0.00	54.00	371
Tercile 2	Loan interest	139	125	103	18	600	208
	Loan amount	158	85	210	5	1600	208
	Loan maturity	51	60	18	12	96	208
	Covenants	0.14	0.00	0.34	0.00	1.00	208
	Synd. size	8.21	5.00	9.51	0.00	36.50	208

(continued on next page)

Table 1 (continued).

Panel D: Net wins		Mean	Median	Std. Dev.	Min	Max	N
Tercile 3	Loan interest	116	100	94	20	600	280
	Loan amount	237	140	311	3	2750	280
	Loan maturity	50	60	18	12	108	280
	Covenants	0.08	0.00	0.26	0.00	1.00	280
	Synd. size	11.18	12.00	10.62	0.00	46.71	280

This table reports summary statistics for the variables used in our study. Panel A covers the entire sample and focuses on firm- and loan-level variables. Panel B focuses on bank-level variables. Panels C and D split the sample into terciles based on the borrowing firm's number of wins and net wins, respectively. *Wins* is the total number of wins for connected politicians in close elections in a given election cycle. *Losses* is the total number of losses for connected politicians in close elections in a given election cycle. *Net Wins* is the difference between *Wins* and *Losses*. *Loan interest rate* is the spread above LIBOR at the time of loan origination. *Loan amount* is the total loan amount, measured in millions of dollars. *Loan maturity* is the length of time, measured in months, until the final payment is due. *Covenants* is the deal-amount-weighted average of a dummy equal to one if the loan has any financial covenant, calculated at the gvkey-cycle level. *Syndicate size* is the number of lenders involved in the syndicate for a particular loan. All loan terms are sourced from DealScan. *Size* is the firm's total assets (in billions). *Market to Book* is the ratio of the market value of a firm's equity to its book value. *Profitability* is earnings before interest and taxes, scaled by total assets. *Leverage* is the ratio of total debt to total assets. *CapEx* is the capital expenditures, scaled by (lagged) total assets. *Tobin's Q* is the ratio of the market value of a firm's assets to their replacement cost. *Cash holdings* is the ratio of cash and cash equivalents to total assets. *Credit rating* is the numerical equivalent of the S&P credit rating for a firm's long-term debt (e.g., the value 1 corresponds to AAA rating, 2 corresponds to AA+, etc.), sourced from Capital IQ. *Operating income* is the ratio of operating income to (lagged) total assets. *EBIT* is earnings before interest and taxes. *Sales* is the total revenue generated by the firm. *Z-Score* is the Altman Z-Score, an indicator of bankruptcy risk. *Bank size* is a bank's total book assets. *Bank deposits* is a bank's total deposits. *Bank net income* is a bank's net income. *Bank leverage* is the total debt divided by total assets. All the data for calculating firm and bank characteristics comes from Compustat and Bank Compustat, respectively. *Previous FDIC Actions* is the number of enforcement actions taken by the FDIC against the bank over the previous election cycle. *Violations* is the number of misconduct violations committed by the bank over an election cycle. *Total Penalties* are the total financial penalties the bank has incurred due to these violations, and *Average Penalty* is the average penalty per violation. All violations data are sourced from Violation Tracker. *CRA Rating* is a bank's Community Reinvestment Act rating. *M&A* measures the number of mergers and acquisitions the bank has completed during an election cycle. *Share Connected Loans* is the proportion of all (DealScan) loans that a bank extends in a given election cycle to politically connected firms. *Total Net Wins* is the sum of all net wins for a given bank in an election cycle.

statistics for both firm and loan characteristics indicate that our sample consists of mostly large (average total assets of \$21.45 billion), profitable (average profitability of 9%), and credit-worthy (average S&P long-term debt credit rating of AA+) enterprises, which is not surprising given the typical participants in the bank loan market.

Panel B focuses on bank-level variables (with unique observations for each bank-election cycle). Similar to borrowing firms, the banks in our sample are relatively large—average (median) total assets and deposits are \$1027 (\$724) and \$522 (\$382) billion, respectively. Importantly, the share of loans to politically connected firms is substantial with an average of 43% and varies significantly across bank-quarters with a standard deviation of 45%. (Our sample includes only DealScan loans, which are much larger than a typical bank loan and represent a very small fraction of all loans made by any bank.)

In Panel C, we report loan characteristics based on the number of close-election wins for candidates connected to the borrowing firm. We split the sample into terciles, where the top tercile (Tercile 3) represents those firms with the highest number of wins.¹¹ The differences across the terciles constitute preliminary evidence consistent with the hypothesis that banks grant more favorable loans to firms with political connections. For example, moving from Tercile 1 to Tercile 3, we see that the average (median) interest rate spread drops from 171 (150) to 97 (80) bps. In another sign of improved loan terms, the average (median) number of major covenants, a measure of loan restrictiveness, decreases from 1.82 (2) to 1.39 (1). Loan size and syndicate size both increase as we move from low- to high-win tercile, while loan maturity is almost unchanged. In Panel D we split the sample into terciles based on the number of net wins, and the results are in general very similar to those in Panel C.

3. Identification strategy

The decision by a firm to engage in the political process is obviously not random. This means that an approach that estimates the impact of political connections by simply comparing firms with political connections to otherwise similar firms that are not politically active suffers from potential endogeneity problems. In our context, it is possible that some unobserved factor drives both the number of a firm's political connections and its attractiveness to lenders, without there existing any direct relation between the two. For example, a firm subject to more stringent (but unobservable) regulations may (i) spend more resources on cultivating politicians, since they can influence regulators, and (ii) represent a lower credit risk, since regulations prevent the firm from taking on risk as well as give regulators a stake in its economic health. Consequently, there would exist a positive correlation between political connections and the favorability of loan terms, even in the absence of any causal relation.

To overcome this problem, we restrict our analysis to close elections, as in Akey (2015), Akey and Lewellen (2017), and Borisov et al. (2015). Under the identifying assumption that the outcome of close elections is unpredictable (including based on donor firm characteristics), we can use their outcomes as a measure of exogenous changes in a firm's political connections, allowing us to estimate the impact of political connections on loan terms.¹²

Table 2 compares firm characteristics based on the number of net wins (in close elections) for connected politicians in an election cycle. We show the summary statistics for the above- and below-median

¹¹ The number of observations differs across the three groups because the number of wins is a discrete variable.

¹² This assumption is supported by the results in Lee (2008), who shows that the outcomes of close elections for the U.S. House of Representatives cannot be predicted based on ex-ante characteristics. See also Eggers et al. (2015), Do et al. (2012, 2015), and Akey (2015) for additional evidence.

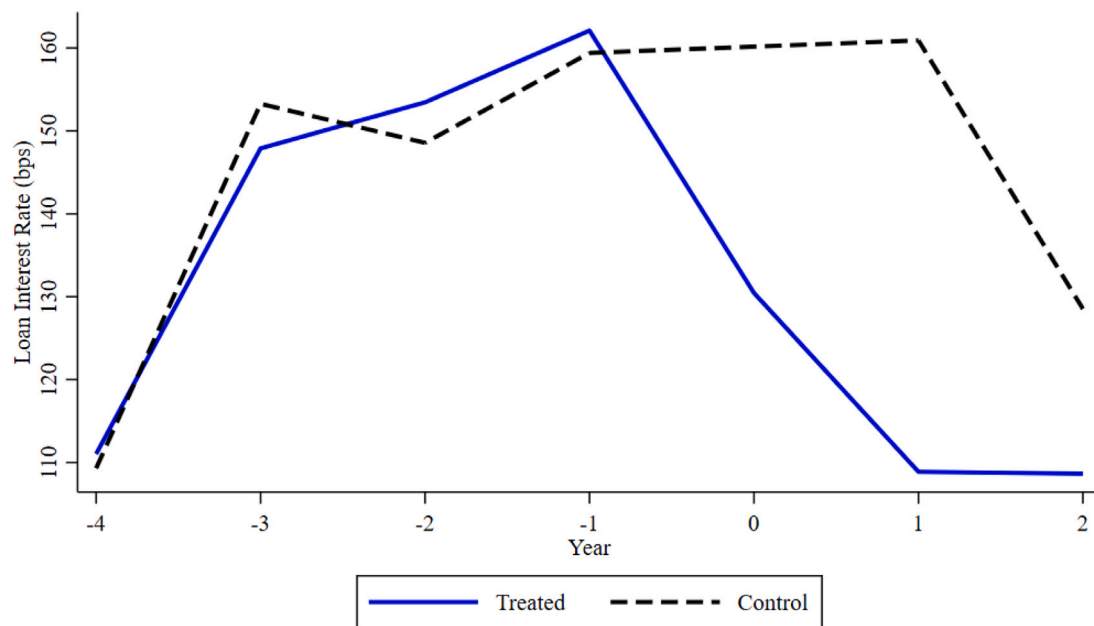


Fig. 1. Parallel Trends in Loan Interest Rate. This figure plots the average interest rate for treated vs. control firms around congressional elections. We define treated firms as those with positive *Net wins* in a given election cycle (we only take the first such instance). Control firms are those that remain untreated from at least four years before to four years after treatment. Year 0 is the year of the treatment.

subsamples as well as the difference between them. The key take-away here is that none of the differences are statistically significant, and the only non-trivial economic magnitude is for the difference in firm size. This finding that there are no observable differences between the two sets of firms satisfies the key condition underlying our empirical design that close-election outcomes are not systematically related to firm characteristics.

It is also possible that firms associated with winning candidates in close elections are different along some unobservable (but relevant) dimension, which could then explain our findings rather than any impact of political connections. For example, such firms may already enjoy lower or decreasing interest rates due to higher credit quality. To address this possibility, we plot in Fig. 1 pre-trends in interest rates for the treated and control groups. We define treated firms as those with positive *Net wins* in a given election cycle (we only take the first such instance, but our results remain the same without this restriction). After a firm is treated, it is not included in future control samples. Control firms are those that remain untreated (i.e., those for which *Net wins* ≤ 0) from at least four years before to four years after treatment. Crucially, before an election, the two time-series are virtually identical, which should alleviate concerns about unobserved differences between the two groups.

4. Political connections and bank borrowing costs

Our primary objective in this section is to estimate the effect of establishing political connections on bank borrowing terms. In our setting, this means exploring the impact of wins (or net wins) by connected politicians in close elections on the loan interest rate received by the firm afterwards (and before the next election). The following section then explores the underlying motivations and potential benefits of politically motivated lending, which represent the primary focus of this study.

4.1. Number of political connections

Our unit of analysis are loans in DealScan, which we match with other data as described in Section 2. The baseline econometric specification is given by the following equation:

$$\text{LoanInterestRate}_{i,j,t} = \beta_0 + \beta_1 \text{Connection}_{i,t} + \beta_2 \text{FirmControls}_{i,t} + \beta_3 \text{Loan}_{j,t} + \text{Firm}_i + \text{ElectionCycle}_t + \text{CreditRating}_{i,t} + \text{LoanPurpose}_j + u_{i,j,t}, \quad (2)$$

where i , j , and t index firm, loan, and election cycle, respectively. $\text{LoanInterestRate}_{i,j,t}$ is the loan interest rate measured as the spread in bps above LIBOR. $\text{Connection}_{i,t}$ is the number of connections gained (or lost) for firm i in close elections in cycle t . We use two variables to measure this variable: the number of wins in close elections (*Wins*) and the number of net wins (*Net wins*). $\text{FirmControls}_{i,t}$ are firm-level control variables, including size, market to book ratio, profitability, leverage, capital expenditures, Tobin's Q, cash holdings, and operating income. $\text{Loan}_{j,t}$ are loan-level controls, including loan amount (in millions of dollars) and loan maturity (in months). Firm_i is the firm fixed effect. ElectionCycle_t is the election cycle fixed effect, which takes out any trends in loan terms over time. For each firm i , we include a credit rating fixed effect at the time of borrowing ($\text{CreditRating}_{i,t}$) to account for differences in loan terms based on firms' observed credit quality. Industry_i is the borrower's industry fixed effect based on two-digit SIC codes, which accounts for industry-induced variations in loan terms (included in specifications without firm fixed effects). We also add loan purpose fixed effects (LoanPurpose_j), with categories covering corporate purposes, takeovers, acquisition lines, and capital expenditures, all defined by DealScan.¹³ Since the variable of interest is at the loan level but variations in political connections are at the firm level, we cluster the standard errors by firm, as suggested by Bertrand et al. (2004) and Favara et al. (2017).

Table 3 shows the results from estimating the above specification. All continuous independent variables are standardized, while discrete variables, such as *Wins* and *Net wins*, are not. In column (1), we see that in a univariate setting *Wins* and loan interest rates are negatively related. One additional close-election win leads to a 7.2 bp reduction in the loan spread, which is roughly equivalent to a credit rating improvement from A to A+. We add to our regression specification

¹³ In robustness tests, we further add lender fixed effects, and all our results remain the same.

Table 2
Net wins and firm characteristics.

	Above median net wins			Below median net wins			Difference	
	Mean	Median	Std. Dev.	Mean	Median	Std. Dev.	Diff.	t-Stat
Size (BN)	23.03	90.49	55.42	19.39	8.28	38.09	−3.63	(−1.14)
Market to book	1.14	1.10	0.62	1.16	1.15	0.58	0.02	(0.54)
Profitability	0.09	0.08	0.07	0.09	0.08	0.07	−0.01	(−1.63)
Leverage	0.32	0.31	0.16	0.33	0.32	0.17	0.01	(0.87)
CapEx	0.06	0.05	0.05	0.06	0.04	0.06	−0.00	(−0.14)
Tobin's Q	1.59	1.34	0.87	1.57	1.39	0.69	−0.02	(−0.32)
Cash holdings	0.07	0.04	0.09	0.08	0.04	0.10	0.01	(1.18)
Operating income	0.14	0.12	0.08	0.13	0.12	0.08	−0.01	(−1.76)
Credit rating	1.77	2.00	0.48	1.82	2.00	0.43	0.05	(1.68)
N	488			371			859	

This table compares firm characteristics based on the number of net wins for connected politicians in a given election cycle. The left (middle) panel reports summary statistics for firms with net wins above (below) the median, and the last two columns report the difference. *Size* is the firm's total assets (in billions). *Market to Book* is the ratio of the market value of a firm's equity to its book value. *Profitability* is earnings before interest and taxes, scaled by total assets. *Leverage* is the ratio of total debt to total assets. *CapEx* is the capital expenditures, scaled by (lagged) total assets. *Tobin's Q* is the ratio of the market value of a firm's assets to their replacement cost. *Cash holdings* is the ratio of cash and cash equivalents to total assets. *Operating income* is the ratio of operating income to (lagged) total assets. All the data for calculating firm characteristics comes from Compustat. *Credit rating* is the numerical equivalent of the S&P credit rating for a firm's long-term debt (e.g., the value 1 corresponds to AAA rating, 2 corresponds to AA+, etc.), sourced from Capital IQ.

firm-level controls, loan-level controls, and election cycle, credit rating, industry, and loan purpose fixed effects in column (2). The magnitude of the *Wins* coefficient decreases, but it remains economically and statistically significant at −3.7 bps.

In our last specification in column (3), we introduce firm fixed effects to account for the possibility that firms supporting winning candidates are systematically (but unobservably) different in a way that influences their credit costs. Our test now explores how within-firm variation in political connections affects loan interest rates. The impact of *Wins* is weaker in this more demanding specification, but it is still statistically significant.

Since the number of wins may be mechanically driven by the degree of firm political engagement (firms that contribute to more candidates are more likely to enjoy a close win for a connected politician), in columns (4) through (6) we repeat our analysis with *Net wins* as our main independent variable.¹⁴ All our results stay the same, with coefficient estimates on *Net wins* that are actually greater in magnitude. In the most comprehensive specification, each additional net win is associated with a reduction in the loan spread of 2.8 bps, which represents a large economic benefit compared to the (direct) cost of establishing political connections. With average loan size of \$199 million, a firm saves \$56,675 per year in interest expenses for each net win, which is more than 11 times the maximum direct annual contribution to a politician of \$5000. Overall, the findings in Table 3 suggest that firm connections to winning politicians in close elections cause significant improvements in interest rates on new loans, demonstrating that banks value political connections of their borrowing clients.

4.2. Political connection importance

If firms indeed gain from their political networks, the benefits should be greater for more important political connections. To test this hypothesis, we examine how the impact of connections on loan interest rates varies with politician influence and with the strength of firm-politician ties.

First, we study whether the effect of political connections is stronger for powerful politicians, defined as those who are members of major

congressional committees. Following Cohen et al. (2011), in the Senate these committees include Finance; Appropriations; Armed services; Veterans' affairs; Banking, housing, and urban affairs; and Rules and administration; and in the House they include Financial services; Appropriations; Armed services; Veterans' affairs; and Rules. We then construct the *Net wins for important committees* variable as the number of connections the firm established in a close election to the members of major congressional committees.

Column (7) in Table 3 adds *Net wins for important committees* to our baseline model using the same set of control variables and fixed effects. We find that the relation between political connections is significantly stronger for powerful politicians. For less influential politicians, the *Net wins* coefficient is not statistically significant and is much lower in magnitude.

Second, we explore the role of the firm-politician connection strength. Incumbents and challengers alike spend a considerable amount of time fundraising for their election campaigns.¹⁵ Moreover, politicians receive contributions from a multiplicity of sources, often with many hundreds or even thousands of direct and indirect contributions from individuals and firms. Thus, if a firm ranks among a politician's top campaign contributors, this should signal an especially strong relationship of high value to the politician.

To measure this, we create an indicator variable for each firm-politician connection that equals one if the firm is in the top half of the politician's corporate contributors in a given election cycle (the results are the same if we instead require the firm to rank among the 50 highest contributors). We then compute the sum of the resulting indicator variables for each firm in each election cycle, which we call *High contributor*. In other words, the *High contributor* variable measures the number of candidates to whom the firm represents a top contributor in an election cycle. *Net wins for high-contributor firms* equals *High contributor* for (close-election) wins less *High contributor* for (close-election) losses. We add this variable to our main specification and provide the results in column (8) of Table 3. The coefficient on *Net wins for high-contributor firms* is negative and statistically significant, demonstrating that the strength of political connections amplifies their impact on loan interest rates.

¹⁴ An additional advantage of *Net wins* is that it takes into account losses in close elections. Akey (2015) finds that the impact of close wins and losses on firm abnormal returns is comparable in magnitude (with the opposite sign). Akey and Lewellen (2017) obtain similar results when studying firm risk-taking. When we include *Wins* and *Losses* separately in Table IA.1 in the Internet Appendix, the coefficient on *Wins* is negative while the coefficient on *Losses* is positive, and they are almost the same in absolute magnitude.

¹⁵ Anecdotal evidence indicates that Congress members may spend up to 50% of their time on phone calls to attract campaign contributions. See a 60 Minutes report at <http://thehill.com/blogs/blog-briefing-room/news/277462-60-minutes-fundraising-demands-turning-lawmakers-into> and a Washington Post article at https://www.washingtonpost.com/news/wonk/wp/2013/01/14/the-most-depressing-graphic-for-members-of-congress/?utm_term=.2e21d99a9a74.

Overall, these findings are consistent with the intuitive hypothesis that connections matter more when politicians are influential or have stronger ties to the firm. It is not just the simple number of established connections that impacts bank borrowing costs, but also their quality.

5. Why do political connections affect loan interest rates?

The results in Section 4 suggest that firms that develop links with politicians in Congress enjoy lower subsequent loan costs. However, they do not by themselves explain what mechanism drives this relation, as they are consistent both with the hypothesis that political connections improve firm fundamentals (and thus loan terms) and with the hypothesis that banks grant better terms to firms with political capital in order to gain access to these firms' connections. Distinguishing between these two channels is difficult, as they are not mutually exclusive and can operate at the same time. Nonetheless, here we attempt to do so in three steps. First, we test whether in our sample changes in political connections are associated with changes in firm operating performance or default risk. Second, we construct proxies for bank demand for political influence and explore how they affect the relation between political connections and loan terms. Finally, we explore whether banks reap benefits from lending to firms with political connections.

5.1. Political connections and firm outcomes

In this section, we test how close-election wins by politicians linked to a firm impact that firm's future operating performance and default risk. As our measures of changes in firm operating performance, we use changes in profitability (*EBIT* scaled by total assets or book value of equity) and sales (scaled by total assets). We also examine changes in default probability, using Altman's Z-Score as our proxy.

Our regression specification is the same as in Eq. (2) (except for loan purpose fixed effects), with firm outcome variables described above replacing the change in loan interest rate as the dependent variable. Given that the benefits of political connections may take time to materialize, we study changes over 1-, 2-, and 3-year horizons after a given electoral cycle.

Table 4 presents the results, whose main take-away is that there is no relation between net wins by connected politicians and subsequent changes in firm fundamentals or default probability. The coefficient estimates are not statistically significant in any of the 12 (4 dependent variables over 3 different horizons) specifications, and their magnitudes are also economically marginal. We conclude that in our sample there is no obvious direct effect of political connections on firm performance and credit quality, which is consistent with the hypothesis that the more favorable loan terms arising from links to politicians are not exclusively driven by improved firm outcomes.¹⁶

Our results here are different than those in some of the prior literature on the relation between political connections and firm performance (Fisman, 2001; Cooper et al., 2010; Akey, 2015; Akey and Lewellen, 2017). A part of the explanation is the difference in methodologies. Most previous studies (e.g., Akey and Lewellen, 2017) use performance level as their dependent variable, whereas our dependent variable is the change in a given measure of firm performance. As columns (1) through (4) of Table IA.3 in the Internet Appendix show, with the dependent variable defined in levels, political connections have a positive and statistically significant impact on EBIT, Net Income, and Sales, which is consistent with previous studies.¹⁷ We also recognize that many benefits of political connections may be difficult to observe, such as political protection that activates in adverse

(and rare) states of the world. Moreover, firms can compensate for lost political connections through other channels such as lobbying or supporting additional politicians. Finally, our sample comprises large, investment-grade rated, politically active firms, whose exposure to political processes may be different than that of a typical firm.

5.2. Bank demand for political influence

If banks offer preferential loan terms in order to establish relationships with the politicians supported by borrowing firms, this effect should be more pronounced for those banks that benefit more from political influence. We thus now explore whether potential influence-seeking motivations affect bank lending behavior.

5.2.1. Loan interest rate

Politicians may help banks avoid, alleviate, or resolve issues with various government agencies. Countrywide Financial, once the largest U.S. mortgage lender, offered favored loans to members of Congress, congressional staff, government officials, and directors at Fannie Mae, with subsequent investigations providing suggestive evidence that factors other than immediate profit drove this lending.¹⁸ Akey et al. (2021) list a selection of political interference cases at the U.S. government agencies that involve regulatory actions. For example, in 1999 Phil Gramm, a then Senator from Texas, publicly criticized banking regulators for giving an unsatisfactory CRA rating to the First National Bank & Trust.¹⁹ Hence, banks that face an elevated threat of experiencing problems in their government relations should have an especially high demand for political influence.

One frequent regulator for U.S. banks is the FDIC, which has, and uses, the power to impose enforcement actions on almost any bank. These actions range from informal supervisory agreements to formal measures, such as cease-and-desist orders, corrective directives, removals, prohibitions, suspensions, insurance terminations, restitution requirements, penalties, and safety and soundness actions. The potential consequences for the targeted banks are severe, even for the less stringent actions, given their impact on client confidence. Banks that historically were subject to high levels of FDIC actions should therefore place a higher value on pursuing political connections. Using data from the FDIC, for each bank in our sample we count the number of enforcement actions it faced during the previous electoral cycle, and denote the resulting measure as *Previous FDIC actions*. We add *Previous FDIC actions* as well as its interaction with *Net wins* to the main regression specification in Eq. (2). We then estimate the resulting specification using our sample of firms linked to politicians in close elections:

$$\begin{aligned} \text{LoanInterestRate}_{i,j,t} = & \beta_0 + \beta_1 \text{Connection}_{i,t} + \beta_2 \text{PreviousFDIC}_{k,t} + \\ & \beta_3 \text{Connection}_{i,t} \times \text{PreviousFDIC}_{k,t} + \beta_4 \text{FirmControls}_{i,t} + \beta_5 \text{Loan}_{j,t} + (3) \\ & \text{Firm}_i + \text{ElectionCycle}_t + \text{CreditRating}_{i,t} + \text{LoanPurpose}_j + u_{i,j,t}, \end{aligned}$$

where i , j , k , and t index firm, loan, bank, and election cycle, respectively. As before, we cluster standard errors at the firm level.

We report the results in column (1) of Table 5. The *Previous FDIC actions* coefficient is positive and statistically significant, indicating that banks with a history of enforcement actions charge higher interest rates. However, we are most interested in the interaction term, as it measures how past enforcement actions affect the relation between changes in political connections and interest rates on new loans. The coefficient on this *Previous FDIC actions* $\times$ *Net wins* term is -6.22 , which implies that each FDIC enforcement action faced by a bank results in

¹⁶ Table IA.2 in the Internet Appendix presents robustness tests in which we replace *Net wins* with *Wins*.

¹⁷ When we add firm fixed effects in columns (6) through (9), the relation remains positive but is no longer significant.

¹⁸ The full report on the case, prepared by the U.S. House of Representatives Committee on Oversight and Government Reform Chairman Darrell Issa, can be found at <https://republicans-oversight.house.gov/wp-content/uploads/2012/07/Countrywide-112th-Report-7.3.12-1207-PM.pdf>.

¹⁹ See <https://www.wsj.com/articles/SB924473987212920299>.

Table 3
Political connections and loan interest rates.

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Wins	-7.196*** (-7.788)	-3.660*** (-3.938)	-1.742* (-1.959)					
Net wins				-8.679*** (-7.390)	-4.758*** (-4.179)	-2.848*** (-2.717)	-0.655 (-0.433)	0.388 (0.214)
Net wins for important committees							-2.978** (-1.978)	
Net wins for high-contributor firms								-6.529** (-2.010)
Size		7.161 (1.013)	3.801 (0.577)		5.311 (0.700)	2.523 (0.388)	3.724 (0.547)	-2.985 (-0.407)
Market to book		31.441 (0.977)	-20.136 (-1.651)		31.944 (0.996)	-19.849* (-1.670)	-17.196 (-1.483)	-16.231 (-1.390)
Profitability		-53.051*** (-5.329)	-19.042 (-0.724)		-54.781*** (-5.495)	-20.984 (-0.796)	-17.527 (-0.683)	-14.496 (-0.566)
Leverage		-5.871 (-0.189)	42.179*** (3.190)		-5.419 (-0.175)	42.309*** (3.279)	39.691*** (3.173)	38.514*** (3.048)
CapEx		-11.088** (-2.085)	-8.653 (-0.840)		-11.370** (-2.133)	-8.115 (-0.792)	-7.755 (-0.767)	-6.547 (-0.657)
Tobin's Q		6.380 (1.151)	10.153 (1.266)		6.914 (1.233)	9.754 (1.223)	8.354 (1.125)	7.399 (1.048)
Cash holdings		19.180*** (4.853)	4.805 (0.662)		19.176*** (4.815)	4.518 (0.625)	4.648 (0.665)	4.229 (0.587)
Operating income		22.729*** (2.727)	-5.393 (-0.203)		24.010*** (2.859)	-4.001 (-0.150)	-5.623 (-0.214)	-8.051 (-0.309)
Loan amount		-4.105 (-1.136)	2.202 (0.714)		-5.472 (-1.391)	2.073 (0.670)	2.642 (0.882)	3.650 (1.128)
Loan maturity		4.366 (1.362)	-4.254 (-1.122)		4.611 (1.435)	-4.188 (-1.110)	-4.152 (-1.115)	-3.909 (-1.063)
Observations	859	859	740	859	859	740	740	740
Adjusted R ²	0.059	0.520	0.687	0.040	0.518	0.689	0.693	0.698
Firm FE	No	No	Yes	No	No	Yes	Yes	Yes
Election cycle FE	No	Yes	Yes	No	Yes	Yes	Yes	Yes
Credit Rating FE	No	Yes	Yes	No	Yes	Yes	Yes	Yes
Industry FE	No	Yes	No	No	Yes	No	No	No
Loan purpose FE	No	Yes	Yes	No	Yes	Yes	Yes	Yes
Firm-level clustering	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes

This table examines the relation between a firm's political connections and the interest rate it receives on new bank loans. The dependent variable is *Loan interest rate*, defined as the spread above LIBOR at the time of loan origination (in basis points). Columns (1) through (3) use the number of wins as the main independent variable. Columns (4) through (8) use the number of net wins as the main independent variable. Specifications in columns (2) and (5) include election cycle, industry, credit rating, and loan purpose fixed effects. Columns (3), (6), (7), and (8) include firm, election cycle, credit rating, and loan purpose fixed effects. *Wins* is the total number of wins for connected politicians in close elections in a given election cycle. *Net wins* is the difference between *Wins* and *Losses*. *Net wins for important committees* are net wins counting only politicians who are members of major congressional committees. *Net wins for high-contributor firms* are net wins counting only politicians for whom the firm is in the top half of corporate contributors. *Size* is the firm's total assets (in billions). *Market to Book* is the ratio of the market value of a firm's equity to its book value. *Profitability* is earnings before interest and taxes, scaled by total assets. *Leverage* is the ratio of total debt to total assets. *CapEx* is the capital expenditures, scaled by (lagged) total assets. *Tobin's Q* is the ratio of the market value of a firm's assets to their replacement cost. *Cash holdings* is the ratio of cash and cash equivalents to total assets. *Operating income* is the ratio of operating income to (lagged) total assets. All the data for calculating firm characteristics comes from Compustat. *Credit rating* is the numerical equivalent of the S&P credit rating for a firm's long-term debt (e.g., the value 1 corresponds to AAA rating, 2 corresponds to AA+, etc.), sourced from Capital IQ. *Loan amount* is the total loan amount, measured in millions of dollars. *Loan maturity* is the length of time, measured in months, until the final payment is due. All loan terms are sourced from DealScan. The sample period is 1992–2016. All continuous independent variables are standardized. Robust *t*-statistics are clustered at the firm level and appear in parentheses below the coefficient estimates. *, **, and *** indicate significance at the 0.1, 0.05, and 0.01 level, respectively.

an extra 4.3% reduction in the loan interest rate per net win, relative to the sample mean of 142 bps. In other words, past enforcement actions induce banks to grant significantly greater reductions in interest rates to firms connected to winning politicians, suggesting that banks with regulatory exposure use preferential lending as a means of cultivating political influence that may mitigate future scrutiny.

Corporate misconduct cases pursued by the federal government are another form of legal or regulatory problems that could be alleviated by political influence. Historically, the banking sector is one of the primary targets of such cases. We compute the average violation penalty (in USD MM) incurred by a bank in each election cycle, *Av. Penalty*, and use its lag as a proxy for misconduct risk.²⁰ As in the previous test, we add this variable and its interaction with *Net wins* to the main regression specification. Column (2) shows that the impact of net wins is stronger for banks with higher past penalties, providing additional support for the hypothesis that political networks are especially valuable to

institutions exposed to elevated regulatory risk. The relevant coefficient estimate is -0.043, which translates into a 3.0% per-net-win decrease relative to the sample mean for each \$100 million in penalties.

Bank demand for political influence was probably also particularly high during the 2008–2009 financial crisis and its aftermath, when numerous financial institutions encountered difficulties and relied on government assistance in the form of capital or regulatory forbearance. Just as one example of this effect, [Acemoglu et al. \(2016\)](#) show that banks with links to Treasury Secretary Timothy Geithner enjoyed positive abnormal returns upon the leaked announcement of his nomination. Consistent with this pattern, lobbying and politically connected banks were more likely to receive TARP support ([Duchin and Sosyura, 2012](#); [Blau et al., 2013](#)).²¹ To further test whether the

²⁰ If there are no documented violations in an electoral cycle, we set the variable to zero. Our results are the same if we instead drop such observations.

²¹ More broadly, [Adelino and Dinc \(2014\)](#) show that when government resources become available during crisis periods, financially distressed firms intensify lobbying and are more likely to obtain stimulus funds, highlighting how the demand for political influence can strengthen when institutions face heightened exposure to government policy.

Table 4
Political connections and future firm performance.

	Panel A <i>ΔEBIT/AT</i>			Panel B <i>ΔEBIT/BV</i>			Panel C <i>ΔZ-Score</i>			Panel D <i>ΔSale/AT</i>		
	<i>t=1</i>	<i>t=2</i>	<i>t=3</i>	<i>t=1</i>	<i>t=2</i>	<i>t=3</i>	<i>t=1</i>	<i>t=2</i>	<i>t=3</i>	<i>t=1</i>	<i>t=2</i>	<i>t=3</i>
Net wins	−0.003 (−0.881)	−0.006 (−0.873)	−0.009 (−0.836)	−0.049 (−1.209)	−0.099 (−1.205)	−0.159 (−1.205)	−0.003 (−1.430)	−0.007 (−1.528)	−0.011 (−1.476)	0.015 (0.880)	0.076 (0.936)	0.091 (0.972)
Size	0.009 (0.326)	0.017 (0.323)	0.022 (0.280)	−0.241 (−0.781)	−0.483 (−0.782)	−0.805 (−0.823)	0.059** (2.116)	0.117** (2.105)	0.171** (2.061)	−0.058 (−0.464)	0.247 (0.507)	0.197 (0.338)
Market to book	0.094*** (2.641)	0.187*** (2.651)	0.289*** (2.816)	1.331* (1.837)	2.661* (1.838)	4.047* (1.855)	0.007 (1.463)	0.014 (1.538)	0.022 (1.562)	0.879*** (2.716)	1.621** (2.569)	2.608*** (2.730)
Profitability							0.045 (1.274)	0.089 (1.241)	0.131 (1.226)	0.271 (0.593)	−1.185 (−0.817)	−1.138 (−0.621)
Leverage	−0.144*** (−3.273)	−0.288*** (−3.279)	−0.443*** (−3.427)	−1.797** (−2.099)	−3.594** (−2.101)	−5.466** (−2.110)	−0.000 (−0.054)	−0.001 (−0.066)	−0.004 (−0.149)	−1.005*** (−2.893)	−1.619** (−2.282)	−2.715*** (−2.600)
CapEx	−0.056 (−1.589)	−0.112 (−1.584)	−0.167 (−1.574)	0.199 (0.580)	0.400 (0.581)	0.620 (0.594)	−0.009 (−1.267)	−0.017 (−1.282)	−0.027 (−1.319)	−0.193* (−1.757)	−0.588** (−2.202)	−0.815** (−2.247)
Tobin's Q	0.039 (1.266)	0.079 (1.269)	0.115 (1.238)	−0.244 (−0.690)	−0.487 (−0.689)	−0.882 (−0.747)	−0.002 (−0.476)	−0.008 (−0.979)	−0.011 (−0.887)	0.222* (1.873)	1.034 (1.159)	1.302 (1.314)
Cash holdings	0.021 (0.702)	0.042 (0.701)	0.062 (0.694)	−0.043 (−0.443)	−0.086 (−0.441)	−0.116 (−0.397)	−0.003 (−0.265)	−0.005 (−0.220)	−0.007 (−0.212)	−0.154 (−1.298)	−0.223 (−0.729)	−0.418 (−1.035)
Operating income	0.041 (1.534)	0.080 (1.513)	0.125 (1.575)	0.362 (0.752)	0.721 (0.749)	1.136 (0.768)	−0.019 (−0.553)	−0.032 (−0.476)	−0.047 (−0.472)	−0.669 (−1.510)	0.465 (0.311)	0.051 (0.027)
Observations	740	740	740	740	740	739	684	684	684	740	740	740
Adjusted R ²	0.123	0.123	0.120	0.178	0.178	0.181	0.098	0.104	0.093	0.107	0.079	0.079
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Election cycle FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Credit rating FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Firm-level clustering	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes

This table examines the relation between a firm's political connections and future (1-, 2-, and 3-year) changes in its performance, measured by its profitability (Panels A and B), credit quality (Panel C), and sales (Panel D). *Net Wins* is the difference between *Wins* and *Losses*, where *Wins* is the total number of wins for connected politicians in close elections in a given election cycle and *Losses* is the total number of losses for connected politicians in close elections in the same election cycle. *Size* is the firm's total assets (in billions). *Market to Book* is the ratio of the market value of a firm's equity to its book value. *Profitability* is earnings before interest and taxes, scaled by total assets. *Leverage* is the ratio of total debt to total assets. *CapEx* is the capital expenditures, scaled by (lagged) total assets. *Tobin's Q* is the ratio of the market value of a firm's assets to their replacement cost. *Cash holdings* is the ratio of cash and cash equivalents to total assets. *Operating income* is the ratio of operating income to (lagged) total assets. *EBIT* is earnings before interest and taxes. *Sales* is the total revenue generated by the firm. *Z-Score* is the Altman Z-Score, an indicator of bankruptcy risk. All the data for calculating firm characteristics comes from Compustat. *Credit rating* is the numerical equivalent of the S&P credit rating for a firm's long-term debt (e.g., the value 1 corresponds to AAA rating, 2 corresponds to AA+, etc.), sourced from Capital IQ. All specifications include firm, election cycle, and credit rating fixed effects. The sample period is 1992–2016. All continuous independent variables are standardized. Robust *t*-statistics are clustered at the firm level and appear in parentheses below the coefficient estimates. *, **, and *** indicate significance at the 0.1, 0.05, and 0.01 level, respectively.

value banks derive from political networks impacts how they respond to firm political connections, in column (3) we compare the differential effect of *Net wins* on loan interest rates during the TARP and non-TARP periods.²²

We define an indicator variable for the TARP period (*TARP period*), which is set to one for years 2008 through 2010 and to zero for other years. Unsurprisingly, loan interest rate spreads are much higher during this period. More importantly for our objective of exploring the *Net wins-Interest rate* relation, the coefficient on the interaction term is negative and significant, which supports the hypothesis that the impact of political connections is stronger during periods when banks are particularly exposed to government policies. (One caveat regarding any interpretation here is that the Great Financial Crisis and its aftermath were clearly a unique time when a number of special, and potentially confounding, factors affected financing activities.)

5.2.2. Share of politically motivated loans

In addition to providing better loan terms to politically connected firms, banks with high potential benefits from political influence should also be especially predisposed to lend to such clients. We now explore this hypothesis by focusing on the number of loans that such banks provide to firms associated with winning politicians.

Our first proxy for influence-seeking by banks is past FDIC enforcement actions (*Previous FDIC actions*). Our dependent variable is the proportion of all DealScan loans (*Share Connected Loans*) that a bank

extends in a given election cycle to politically connected firms, which are defined as those that make contributions to winning politicians in close elections.²³ The unit of analysis is now banks (rather than borrowing firms), and we include in the specification bank-level control variables (bank size, total deposits, leverage, and net income) as well as bank and election cycle fixed effects:

$$\begin{aligned} \text{ShareConnected Loans}_{j,t} = & \beta_0 + \beta_1 \text{PreviousFDIC}_{j,t} + \\ & \beta_2 \text{BankSize}_{j,t} + \beta_3 \text{BankDeposits}_{j,t} + \beta_4 \text{BankLeverage}_{j,t} + \\ & \beta_5 \text{BankNetIncome}_{j,t} + \text{Bank}_j + \text{ElectionCycle}_t + u_{j,t}, \end{aligned} \quad (4)$$

where *j* and *t* index bank and election cycle, respectively. Standard errors are clustered at the bank level.

The first column in Table 6 shows that the *Previous FDIC actions* coefficient is positive and highly statistically significant, consistent with the hypothesis that regulatory risk leads banks to extend more loans to connected firms. The effect is economically meaningful, with a one-standard-deviation increase in *Previous FDIC actions* leading to an increase of 7.8 percentage points (representing an increase of 18.1% relative to the sample mean) in the share of politically motivated loans.²⁴

Our second measure is the number of violations for corporate misconduct (*Violations*), defined as cases which were resolved and in

²³ Our findings are the same if we instead use the number of loans to such firms.

²⁴ Computed as the product of the coefficient estimate, 0.268, and the standard deviation of *Previous FDIC actions*, 0.29.

²² For this test, we have to drop the election cycle fixed effects.

Table 5
Impact of bank demand for political influence.

	(1)	(2)	(3)
Net wins	−2.725*** (−2.599)	−1.931* (−1.965)	−2.036** (−2.141)
Net wins × Previous FDIC actions	−6.217** (−2.417)		
Previous FDIC actions	33.883* (1.782)		
Net wins × Previous Av. penalty		−0.043** (−2.282)	
Previous Av. penalty		−0.004 (−0.130)	
Net wins × TARP period			−8.801** (−2.077)
TARP period			22.101 (1.537)
Observations	740	740	740
Adjusted R ²	0.689	0.691	0.692
Controls	Yes	Yes	Yes
Loan controls	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes
Election cycle FE	Yes	Yes	No
Credit rating FE	Yes	Yes	Yes
Loan purpose FE	Yes	Yes	Yes
Firm-level clustering	Yes	Yes	Yes

This table examines whether a bank's circumstances, in particular its potential demand for favors from politicians, influence the relation between a firm's political connections and the interest rate it receives from banks. The dependent variable is *Loan interest rate*, defined as the spread above LIBOR at the time of loan origination (in basis points), sourced from DealScan. As our proxies for bank demand for political favors, we use (i) the number of previous FDIC actions; (ii) the previous average penalty for corporate misconduct (in USD MM); and (iii) a dummy variable for the TARP period. *Net Wins* is the difference between *Wins* and *Losses*, where *Wins* is the total number of wins for connected politicians in close elections in a given election cycle and *Losses* is the total number of losses for connected politicians in close elections in the same election cycle. *Previous FDIC Actions* refers to the number of enforcement actions taken by the FDIC against the bank over the previous election cycle. *Previous average penalty* is the average penalty per misconduct violation against the bank over the previous election cycle, sourced from Violation Tracker. *TARP period* is a binary variable that is set to one for the years 2008–2010 (during the Troubled Asset Relief Program) and zero for other years. All specifications include firm, election cycle (except for Column 3), credit rating, and loan purpose fixed effects. The sample period is 1992–2016. All continuous independent variables except *Previous average penalty* are standardized. Robust *t*-statistics are clustered at the firm level and appear in parentheses below the coefficient estimates. *, **, and *** indicate significance at the 0.1, 0.05, and 0.01 level, respectively.

which the bank incurred a penalty. Column (2) repeats the above test with lagged *Violations* replacing *Previous FDIC actions* as a proxy for influence-seeking banks, and reports a positive and statistically significant coefficient estimate. The impact of past violations is almost the same as that of FDIC enforcement actions—an increase of one standard deviation in *Previous violations* results in a 7.8 percentage-point (18.1% relative to the sample mean) rise in the proportion of loans to connected firms.

In our final test, we focus on banks' CRA exam ratings. Banks that do not comply with CRA regulations can face constraints in opening new branches or engaging in mergers and acquisitions. Additionally, there is a perception that various regulators treat such banks less favorably. Finally, non-compliant banks can face direct CRA enforcement actions, which Agarwal et al. (2022) show leads to changes in lending activities. Thus, banks with bad (which means high) CRA ratings are likely subject to more regulatory pressure and may consequently have a greater need for political influence. We find supporting evidence in column (3), with past CRA ratings strongly positively associated with the share of loans to politically connected firms. In terms of economic magnitude, a one-standard-deviation change in CRA rating is associated with a

11.3 percentage-point (26.3% relative to the sample mean) increase in politically-motivated loan share.

Overall, our analysis supports the hypothesis that banks with high demand for political influence lend more frequently to firms with political connections.²⁵ Together with the evidence from the previous section, these results are broadly consistent with the bank-centered channel, whereby banks use favorable loan terms to establish links to politicians affiliated with banks' clients—links that may, in turn, yield regulatory or other benefits.

5.3. Bank benefits from lending to politically connected firms

If banks extend preferential loans to connected clients in order to boost their own political influence, we would expect this influence to benefit banks in some way. In this section, we provide such *quid pro quo* evidence in two settings: penalties for corporate misconduct and merger activity.

We first construct a bank-level measure of political influence by aggregating political connections, measured by net wins in close elections, gained by the bank's borrowers within each electoral cycle. This variable, denoted as *Total Net Wins*, captures both the breadth and depth of a bank's exposure to politically connected firms. Specifically, it reflects not only the number of borrowers with political ties but also the strength of those ties. This measure serves as the foundation for our analysis of whether political influence arising from lending to connected firms translates into measurable benefits for banks.

In our first test, we then explore the relation between *Total net wins* and subsequent misconduct penalties, which represent a proxy for the regulatory treatment received by banks. The model we estimate is:

$$\text{Penalty}_{j,t+1} = \beta_0 + \beta_1 \text{Total net wins}_{j,t} + \beta_2 \text{Bank Controls}_{j,t} + \text{Bank}_j + \text{Cycle}_{t+1} + u_{j,t+1}, \quad (5)$$

where *Penalty* is the total or average penalty incurred by a bank in a given election cycle; *Total net wins* is the sum of *Net wins* across all the firms that borrowed from the bank over the previous election cycle; *Bank Controls* are bank characteristics; *Bank* is the bank fixed effect; and *Cycle* is the election cycle fixed effect. Banks are indexed by *j* and cycles by *t*. We cluster standard errors at the bank level.

Table 7 presents the results, which show that the relation between aggregate net wins and misconduct penalties is negative. An additional net win by a bank's borrower leads to total (average) penalties that are \$31.1 (\$1.7) million lower, representing a decrease of 3.1% (3.9%) relative to the variables' sample means. These findings are consistent with the hypothesis that banks benefit from lending to politically connected firms through more favorable treatment by regulators, as reflected in lower misconduct penalties. The observed decline in enforcement severity suggests that political connections may serve as a form of implicit insurance against regulatory scrutiny. This leniency reduces the expected costs of committing violations, potentially making banks less risk-averse in their compliance decisions and other business practices. This mechanism thus provides a channel through which political influence can distort regulatory enforcement and affect banks' behavior.

In our second *quid pro quo* test, we examine the impact of loans to connected firms on bank mergers and acquisitions activity. We use a similar specification as for the previous test, with the dependent variable now set to the number of mergers and acquisitions (M&A) engaged in by a bank. Since business combinations in the banking sector require a variety of regulatory approvals (beyond those for "regular" mergers and acquisitions), political influence arising from

²⁵ In unreported tests, we examine the impact of bank political activity, measured by political contributions, but find no significant effect.

Table 6
Loans to politically connected firms.

	<i>Share of loans to politically connected firms</i>		
	(1)	(2)	(3)
Previous FDIC actions	0.268*** (5.997)		
Previous violations		0.008*** (3.551)	
Previous CRA ratings			0.213** (2.539)
Bank size	−0.146 (−1.622)	−0.144 (−1.289)	−0.364** (−2.842)
Bank deposits	0.342*** (3.301)	0.340*** (2.861)	0.262** (2.354)
Bank leverage	−0.035 (−0.670)	−0.051 (−0.822)	0.213*** (2.951)
Bank net income	−0.088* (−1.842)	−0.080 (−1.628)	−0.080** (−2.503)
Observations	545	545	261
Adjusted R ²	0.499	0.487	0.668
Bank FE	Yes	Yes	Yes
Election cycle FE	Yes	Yes	Yes
Bank-level clustering	Yes	Yes	Yes

This table examines how bank demand for political favors impacts the fraction of loans banks make to politically connected firms. We define such firms as those that contribute to winning politicians in close elections. The dependent variable is *Share Connected Loans*, the proportion of all (DealScan) loans that a bank extends in a given election cycle to politically connected firms. As our proxies for bank demand for political favors, we use (i) the number of previous FDIC actions; (ii) the number of previous violations for corporate misconduct; and (iii) the previous CRA rating. *Previous FDIC Actions* is the number of enforcement actions taken by the FDIC against the bank over the previous election cycle. *Violations* is the number of misconduct violations committed by the bank over an election cycle, sourced from Violation Tracker. *CRA Rating* is a bank's Community Reinvestment Act rating, sourced from FFIEC. *Bank size* is a bank's total book assets. *Bank deposits* is a bank's total deposits. *Bank net income* is a bank's net income. *Bank leverage* is the total debt divided by total assets. All the data for calculating bank characteristics comes from Bank Compustat. All specifications include bank and election cycle fixed effects. The sample period is 1992–2016. All continuous independent variables are standardized. Robust *t*-statistics are clustered at the firm level and appear in parentheses below the coefficient estimates. *, **, and *** indicate significance at the 0.1, 0.05, and 0.01 level, respectively.

lending to connected firms should, all else equal, translate into higher M&A levels. In support of this hypothesis, the *Total net wins* variable has a positive impact on bank M&A activity, equivalent to a 11% increase per net win relative to the sample mean. This finding further reinforces the notion that banks use politically motivated preferential lending to secure regulatory support.

6. Robustness tests

We now examine the robustness of our results. We first study loan features other than its interest rate. We then focus on the relation between political connections and loan interest rates, and conclude with an evaluation of the *quid pro quo* mechanism.

6.1. Other loan characteristics

The interest rate is a crucial term in any loan, but it is not the only important one. Here we explore the impact of changes in political connections on other loan characteristics, which include loan amount, syndicate size, number of covenants, and maturity. The regression specification is the same as in Eq. (2), with the dependent variable now being one of these four other loan terms and the interest rate serving as a loan-level control.

Table IA.4 in the Internet Appendix reports the findings. Connections to winning politicians are associated with larger loans, with each net win increasing loan size by \$13.33 million. This represents a meaningful economic effect, given that the average loan size in our sample is \$199 million. Similarly, the coefficient on *Net wins* is positive,

significant, and economically important for syndicate size, suggesting that political connections help attract more lenders to participate in the deal. In another sign of political connections leading to improved loan terms, the relation between *Net wins* and the number of covenants is negative and significant. For loan maturity, we find no results. Taken together, the analysis here suggests that political connections impact not just the loan interest rate but also other important terms, further confirming the value of political networks in the loan market.

6.2. Political connections and loan interest rate

In Section 4 we show that firms with political connections receive lower loan interest rates. We establish the robustness of this finding through a variety of tests. First, we run a simple placebo test to explore whether random chance could explain our result on the relation between political connections and new loan costs. We take the original distribution of *Wins* or *Net wins* and randomly reassign them across the borrowing firms in our sample. We then re-estimate the model and repeat this procedure 1000 times. Fig. 2 plots the resulting distribution of the *t*-statistics for the coefficient estimate on *Wins* and *Net wins*. The placebo is evaluated against the specifications in columns (2) and (4) of Table 3 for *Wins* and *Net Wins*, respectively. The original *t*-statistics for both variables are in the first percentile of the distribution, confirming that our results are unlikely to be explained by pure chance.

Second, we study whether a small number of borrowing firms drives our findings. To do so, we randomly drop 5 or 10 percent of firms (there are 335 unique borrowers) from the sample and re-estimate the model. We repeat this procedure 1000 times and report the resulting distribution of *t*-statistics for our main independent variable in Fig. 3. We find that the *t*-statistics always remain highly significant, suggesting our results hold widely across different firms and are not associated with only a small number of borrowers. In Fig. 4, we repeat this analysis for banks (there are 134 unique banks in the sample) and show that our results remain strong in different subsamples, which indicates that they are not driven by just a small number of banks.

We examine the impact of the Supreme Court's 2010 *Citizens United v. Federal Election Commission* ruling by splitting the sample into the before and after periods. Table IA.5 in the Internet Appendix shows that the *Net wins* coefficient is very similar in both subsamples (though only statistically significant in the pre-2010 period, which covers 84% of the observations). Finally, we include in Table IA.6 in the Internet Appendix additional control variables, which have almost no effect on our coefficient of interest.

6.3. Stacked difference-in-differences regression

Goodman-Bacon (2021) describes a bias affecting DiD tests with two-way fixed effects when treatment timing varies, which arises because such a specification uses already-treated firms as controls.²⁶ More specifically, when treatment effects are dynamic and there exists variation in treatment timing (as is the case for our tests), the DiD coefficient represents a weighted average of these dynamic effects. Since these weights can potentially be negative, estimates computed via DiD might be biased.

To address this concern, we examine whether our results hold under an alternative estimation method that is not affected by the above potential bias. We use the stacked DiD regression (Gormley and Matsa, 2011, 2016), as suggested by Baker et al. (2022).

For each firm, we define treatment in a given cycle as *Net wins* > 0 (the results are the same if we restrict this definition to only the first positive *Net wins*). Next, we construct a sample of firms for each cycle that includes only the treated observations (treatment cohort)

²⁶ See also Callaway et al. (2021) for a generalization to cases with continuous treatment.

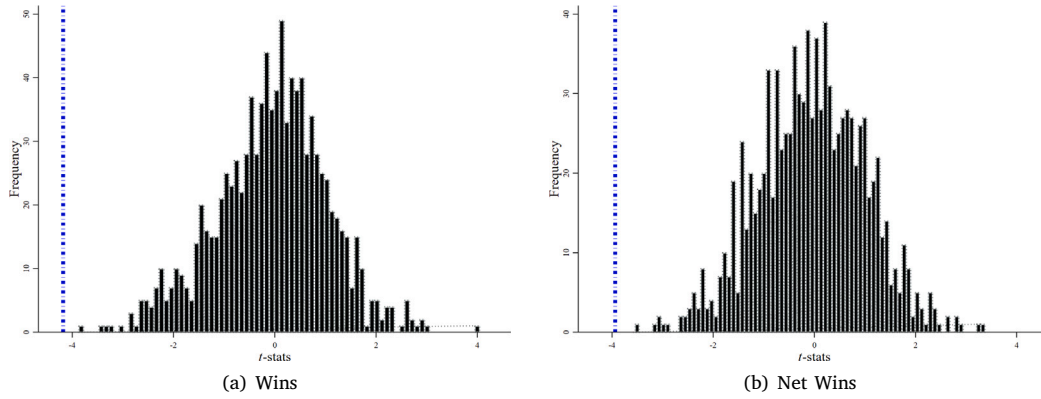


Fig. 2. Placebo Test. This figure shows the results of placebo tests. We use the original distribution of *Wins* (a) or *Net wins* (b) and randomly reassign them across different sample firms. We then re-estimate the baseline model and repeat this procedure 1000 times. We plot the resulting distribution of the t -statistics for β_1 (the coefficient estimate of the *Wins* in the left panel and *Net wins* in the right panel) in the histograms below. The vertical dashed blue line is the t -statistic of the true baseline regression. (For interpretation of the references to color in this figure legend, the reader is referred to the web version of this article.)

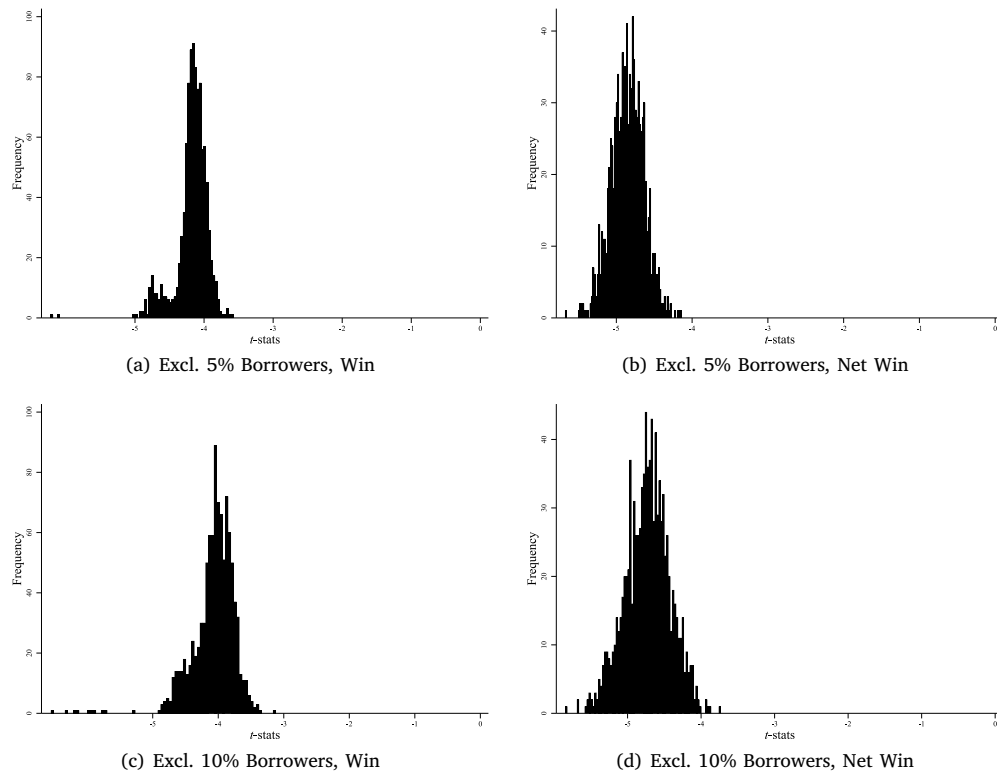


Fig. 3. Robustness Test: Borrower Concentration. We randomly drop five (ten) percent of borrowers from the sample and re-estimate our baseline model, using the number of wins or net wins as the main independent variable. We repeat this procedure 1000 times and report the resulting distribution of t -statistics. Histograms on the left (right) show the results with *Wins* (*Net wins*) as the main independent variable.

and set the treated variable equal to one for the post-event window. For each cohort, we create a sample of control observations using any firm that was not treated in that cycle or a prior cycle. We drop any control observations that become treated at a later point in time (e.g., if a control gets treated in cycle $t+1$, we then drop its $t+1$ and later observations from the sample). We then estimate the following model:

$$\text{Loan Interest Rate}_{i,t} = \beta D_{i,c,t} + \delta_{c,t} + \alpha_{i,c} + \gamma \text{Firm Controls}_{i,t} + u_{i,t}, \quad (6)$$

where i , c , and t index firm, treatment cohort, and cycle, respectively. $D_{i,c,t}$ is an indicator variable showing whether firm i in cohort c is treated in cycle t ; $\delta_{c,t}$ is the cycle-by-cycle cohort fixed effect (controls for the post-event dummy); $\alpha_{i,c}$ is the cohort fixed effect (controls

for the treatment dummy in each cohort); and *Firm Controls* are firm characteristics.

We report the estimation results in Table 8, which confirm the findings from our baseline specification. Treated firms (firms with positive *Net wins*) receive lower rates on bank loans in the post-even window (covering the period from one election until the next), and the effect is economically and statistically significant.

6.4. Quid pro quo

Lastly, Table 9 provides robustness tests for the *quid pro quo* analysis in Section 5.3. More specifically, in Panel A we split the sample into the

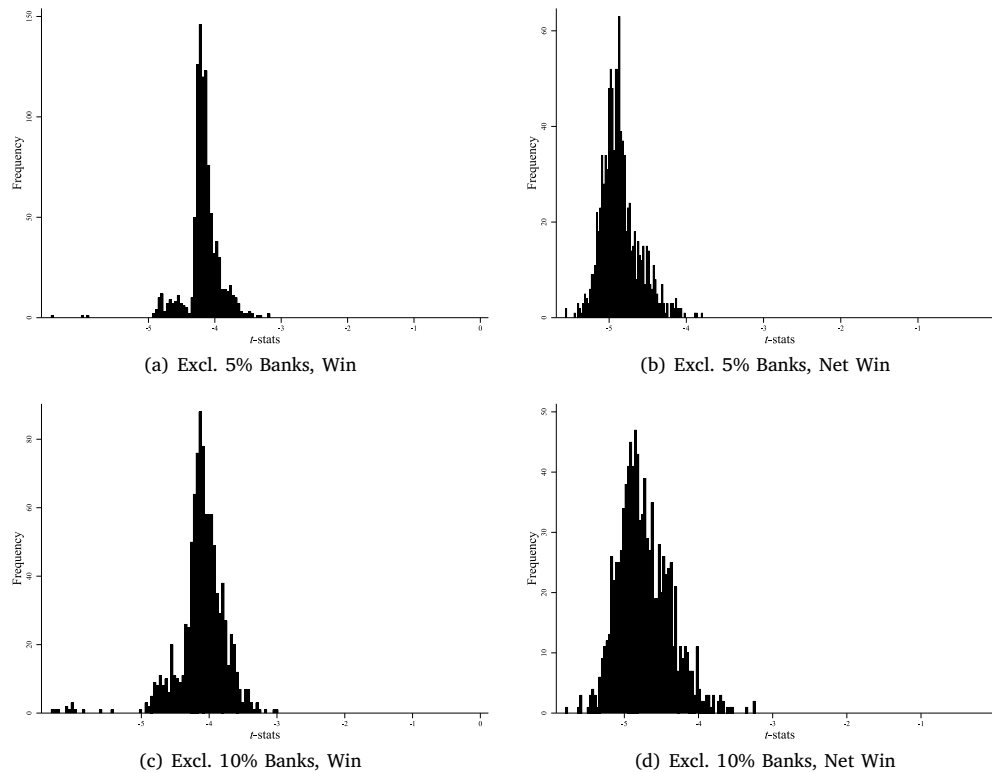


Fig. 4. Robustness Test: Lender Concentration. We randomly drop five (10) percent of lenders from the sample and re-estimate our baseline model, using the number of wins or net wins as the main independent variable. We repeat this procedure 1000 times and report the resulting distribution of t-statistics. Histograms on the left (right) show the results with Wins (*Net wins*) as the main independent variable.

Table 7

Bank benefits from loans to politically connected firms.

	Corporate misconduct		M&A
	<i>Total Penalties</i>	<i>Av. Penalty</i>	
Total net wins	-31.120* (-1.874)	-1.701** (-2.586)	0.022* (1.912)
Bank size	-308.901 (-0.365)	109.038 (1.466)	-0.092 (-0.440)
Bank deposits	1773.727** (2.202)	-66.745 (-1.014)	-0.179 (-0.876)
Bank leverage	816.570* (1.696)	2.402 (0.093)	-0.057 (-0.263)
Bank net income	-1084.202** (-2.308)	-8.091 (-0.397)	-0.031 (-0.450)
Observations	545	545	545
Adjusted R ²	0.379	0.383	0.515
Bank FE	Yes	Yes	Yes
Election cycle FE	Yes	Yes	Yes
Bank-level clustering	Yes	Yes	Yes

This table examines the relation between loans to politically connected firms and subsequent outcomes for the lending bank. Connected firms are firms that contribute to winning politicians in close elections. *Total Penalties* are the total financial penalties the bank has incurred due to misconduct violations, and *Average Penalty* is the average penalty per violation, sourced from Violation Tracker. *Total net wins* is the sum of all net wins for a given bank in an election cycle. *M&A* measures the number of mergers and acquisitions the bank has completed during an election cycle. *Bank size* is a bank's total book assets. *Bank deposits* is a bank's total deposits. *Bank net income* is a bank's net income. *Bank leverage* is the total debt divided by total assets. All the data for calculating bank characteristics comes from Bank Compustat. All specifications include bank and election cycle fixed effects. The sample period is 1992–2016. All continuous independent variables are standardized. Robust *t*-statistics are clustered at the firm level and appear in parentheses below the coefficient estimates. *, **, and *** indicate significance at the 0.1, 0.05, and 0.01 level, respectively.

Table 8
Stacked difference-in-differences regression.

	(1)	(2)	(3)
Treated	−33.668*** (−3.220)	−37.731*** (−3.582)	−31.427*** (−3.303)
Size		19.725 (0.282)	33.315 (0.523)
Market to book		−87.433 (−1.408)	−60.202 (−0.891)
Profitability		−10.359 (−0.159)	−0.887 (−0.015)
Leverage		54.407 (1.084)	24.001 (0.426)
CapEx		−2.210 (−0.204)	−2.906 (−0.280)
Tobin's Q		−6.469 (−0.612)	−0.488 (−0.045)
Cash holdings		9.806 (1.093)	5.237 (0.575)
Operating income		−32.888 (−0.537)	−43.234 (−0.751)
Loan amount			10.515 (1.082)
Loan maturity			−15.080** (−2.074)
Observations	368	368	368
Adjusted R ²	0.789	0.814	0.823
Cycle-Cohort FE	Yes	Yes	Yes
Firm-Cohort FE	Yes	Yes	Yes

The table shows the estimation results of a stacked difference-in-differences regression. The dependent variable is the loan interest rate (in basis points), defined as the spread above LIBOR at the time of loan origination. The key independent variable is *Treated*, an indicator for whether a firm has positive *Net wins* in a given election cycle. *Size* is the firm's total assets (in billions). *Market to Book* is the ratio of the market value of a firm's equity to its book value. *Profitability* is earnings before interest and taxes, scaled by total assets. *Leverage* is the ratio of total debt to total assets. *CapEx* is the capital expenditures, scaled by (lagged) total assets. *Tobin's Q* is the ratio of the market value of a firm's assets to their replacement cost. *Cash holdings* is the ratio of cash and cash equivalents to total assets. *Operating income* is the ratio of operating income to (lagged) total assets. All the data for calculating firm characteristics comes from Compustat. *Credit rating* is the numerical equivalent of the S&P credit rating for a firm's long-term debt (e.g., the value 1 corresponds to AAA rating, 2 corresponds to AA+, etc.), sourced from Capital IQ. *Loan amount* is the total loan amount, measured in millions of dollars. *Loan maturity* is the length of time, measured in months, until the final payment is due. All loan terms are sourced from DealScan. The sample period is 1992–2016. All continuous independent variables are standardized. Robust *t*-statistics are clustered at the firm level and appear in parentheses below the coefficient estimates. *, **, and *** indicate significance at the 0.1, 0.05, and 0.01 level, respectively.

pre- and post-2004 periods (based on the midpoint of our sample), and in Panel B we winsorize the dependent variable at the 1% level. The former test explores whether a particular period drives our findings, while the latter is important given that the distribution of penalties contains some large outliers (e.g., the maximum total penalties are more than \$19 billion, incurred by Bank of America in the 2014 election cycle). We find that our results on the benefits associated with preferential lending hold in almost all specifications.²⁷ The only two exceptions are total penalties in the post-2004 period and M&A activity in the pre-2004 period, where the coefficients of interest have the “correct” sign but are no longer statistically significant. Furthermore, the magnitudes of the relevant coefficients in both panels are generally similar to those reported in Table 7.

7. Conclusion

We show that banks engage in preferential lending to politically connected firms as a means of obtaining political influence, which in

turn yields tangible regulatory benefits. To establish this mechanism, we first show that politically connected firms receive better loan terms, especially when linked to more influential politicians or ranked among their top campaign contributors. These favorable loan terms are not driven by improvements in firm performance or credit quality. Instead, banks — particularly those facing regulatory issues such as FDIC enforcement actions, corporate misconduct cases, or low CRA ratings — use credit allocation and terms to cultivate ties with office-holding politicians. The resulting political influence yields regulatory advantages, including lower corporate misconduct penalties and increased probability of M&A approval, consistent with a *quid pro quo* dynamic.

These findings contribute to the literature on corporate political activities by highlighting the strategic role of bank lending in shaping regulatory outcomes. They also suggest that beyond lobbying or campaign contributions, banks (as well as other firms) may engage in more complex forms of influence-seeking. An interesting avenue for future research would be to examine the risks and limits of this strategy; for example, how regulators respond when political lending becomes too visible or politically costly. Another implication of our results is that relationships with politicians may create indirect benefits for firms in their interactions with others seeking access to these relationships. Further investigation could explore the consequences of not lending

²⁷ They also remain the same when we winsorize the dependent variable at the 5% level.

Table 9

Bank benefits from loans to politically connected firms - robustness tests.

PANEL A: SUB-SAMPLE STUDY						
	(1) <i>Total Penalties</i> Cycle < 2004	(2) <i>Av. Penalty</i>	(3) <i>Total Penalties</i> Cycle ≥ 2004	(4) <i>Av. Penalty</i>	(5) <i>M&A</i> Cycle < 2004	(6) <i>M&A</i> Cycle ≥ 2004
Total net wins	−53.215** (−2.059)	−2.375** (−2.370)	−0.911 (−0.141)	−0.743** (−2.484)	0.004 (1.423)	0.016** (2.214)
Bank size	−73.047 (−0.074)	131.489 (1.629)	−178.471 (−0.263)	30.339 (1.073)	1.157** (2.140)	−0.045 (−0.457)
Bank deposits	2102.199** (2.289)	−68.616 (−0.971)	683.432 (0.860)	−9.633 (−0.337)	−1.201* (−1.843)	−0.002 (−0.014)
Bank leverage	944.585 (1.352)	8.434 (0.239)	720.577*** (2.793)	14.693 (1.586)	−0.054 (−0.788)	−0.049 (−0.390)
Bank net income	−1445.462*** (−3.046)	−30.338 (−1.385)	−799.336* (−1.761)	1.227 (0.078)	0.341** (2.566)	0.033 (0.725)
Observations	321	321	204	204	212	329
Adjusted R ²	0.406	0.409	0.336	0.374	0.811	0.573
Bank FE	Yes	Yes	Yes	Yes	Yes	Yes
Election cycle FE	Yes	Yes	Yes	Yes	Yes	Yes
Bank-level clustering	Yes	Yes	Yes	Yes	Yes	Yes

PANEL B: WINSORIZING THE DEPENDENT VARIABLE			
	(1) <i>Corporate misconduct</i> <i>Total penalties</i>	(2) <i>Av. penalty</i>	(3) <i>M&A</i>
Total net wins	−30.934* (−1.857)	−1.686** (−2.556)	0.020** (2.047)
Bank size	−294.759 (−0.346)	87.517 (1.377)	−0.061 (−0.335)
Bank deposits	1717.938** (2.122)	−47.420 (−0.847)	−0.183 (−0.989)
Bank leverage	820.513* (1.747)	9.497 (0.423)	−0.030 (−0.157)
Bank net income	−1052.563** (−2.343)	−11.224 (−0.604)	−0.021 (−0.331)
Observations	545	545	545
Adjusted R ²	0.379	0.386	0.524
Bank FE	Yes	Yes	Yes
Election cycle FE	Yes	Yes	Yes
Bank-level clustering	Yes	Yes	Yes

This table examines the relation between loans to politically connected firms and subsequent outcomes for the lending bank. Panel A splits the full 1992–2016 sample into the pre- and post-2004 subsamples. Panel B winsorizes the dependent variable at the 1% level. *Total net wins* refers to the sum of all net wins for a given bank in an election cycle. *Total Penalties* are the total financial penalties the bank has incurred due to misconduct violations, and *Average Penalty* is the average penalty per violation, sourced from Violation Tracker. *M&A* measures the number of mergers and acquisitions the bank has completed during an election cycle. *Bank size* is a bank's total book assets. *Bank deposits* is a bank's total deposits. *Bank net income* is a bank's net income. *Bank leverage* is the total debt divided by total assets. All the data for calculating bank characteristics comes from Bank Compustat. All specifications include bank and election cycle fixed effects. Robust *t*-statistics are clustered at the bank level and appear in parentheses below the coefficient estimates. *, **, and *** indicate significance at the 0.1, 0.05, and 0.01 level, respectively.

to, or more generally doing business with, firms possessing political networks.

CRedit authorship contribution statement

Mahsa Kaviani: Writing – review & editing, Writing – original draft, Methodology, Investigation, Formal analysis, Data curation, Conceptualization. **Hosein Maleki:** Writing – review & editing, Writing – original draft, Methodology, Investigation, Formal analysis, Data curation, Conceptualization. **Pavel Savor:** Writing – review & editing, Writing – original draft, Methodology, Investigation, Formal analysis, Data curation, Conceptualization.

Declaration of competing interest

The authors declare that they have no known competing financial interests or personal relationships that could have appeared to influence the work reported in this paper.

Appendix A. Variable descriptions

See Table A.1.

Appendix B. Supplementary data

Supplementary material related to this article can be found online at <https://doi.org/10.1016/j.jfineco.2026.104333>.

Data availability

Reaching for Influence: Do Banks Use Loans to Establish Political Connections? (Original data) (Mendeley Data)

Table A.1
Variable descriptions.

Variable	Description	Source
ELECTION VARIABLES		
Wins	The number of wins in close elections for candidates associated with the firm in a given election cycle.	FEC
Loss	The number of losses in close elections for candidates associated with the firm in a given election cycle.	FEC
Net wins	The number of close election wins minus the number of close election losses in a given election cycle.	FEC
LOAN-LEVEL VARIABLES		
Loan interest rate	Loan interest rate as reported by the DealScan database (<i>allindrawn</i>), defined as the spread in basis points above the LIBOR rate at the time of loan origination. If a firm has multiple loans in a cycle, we use the weighted average of spreads.	DealScan
Loan amount	The dollar value of the loan. If a firm has multiple loans in a cycle, we use the sum of loans as the loan amount.	DealScan
Loan maturity	Loan maturity expressed in the number of months, starting at the point of origination. If a firm has multiple loans in a cycle, we use the weighted average of maturities.	DealScan
Loan covenants	Following Bradley and Roberts (2015) , we count the number of financial covenants.	DealScan
Synd. size	The number of banks in the loan syndicate.	DealScan
FIRM-LEVEL VARIABLES		
Size (borrower)	Total Book Assets (AT).	Compustat
Market to book	Market value of equity, calculated as common shares outstanding (CSHO) multiplied by the fiscal-year-end price (PRCC_F), divided by book equity. Book equity is defined as common equity (CEQ), and is replaced with total assets minus total liabilities (AT – LT) when CEQ is missing.	Compustat
Profitability	Earnings Before Interest and Taxes (EBIT) divided by lagged Total Assets (AT).	Compustat
Leverage	Total Debt (DLTT + DLC) divided by Total Assets (AT).	Compustat
CapEx	Plant, Property & Compustat CAPX divided by lagged Total Assets (AT).	Compustat
Tobin's Q	Ratio of the Market Value Assets to their replacement value, computed as (CSHO × PRCC_F + AT – CE)/AT.	Compustat
Cash holdings	Cash holdings (CHE) divided by lagged Total Assets (AT).	Compustat
Credit rating	The collapsed S&P long-term debt credit rating category of the firm: 1 = AAA–A–, 2 = BBB+–B–, 3 = CCC+ and below, and 4 = unrated.	Capital IQ
Operating income	Operating Income Before Depreciation (OIBDP) divided by lagged Total Assets (AT).	Compustat
EBIT	Earnings Before Interest and Taxes.	Compustat
Sales	Sales (Revenue).	Compustat
Z-Score	Altman's Z-Score: $1.2 \times (\text{working capital}/\text{total assets}) + 1.4 \times (\text{retained earnings}/\text{total assets}) + 3.3 \times (\text{earnings before interest and tax}/\text{total assets}) + 0.6 \times (\text{market value of equity}/\text{total liabilities}) + 1.0 \times (\text{sales}/\text{total assets})$.	Compustat
BANK-LEVEL VARIABLES		
Bank size (BN)	Total Book Assets (AT).	Bank Compustat
Bank deposits (BN)	Bank total deposits (Deposits – Total: DPDC).	Bank Compustat
Bank net income (BN)	Bank Net Income (NI).	Bank Compustat
Bank leverage	Use of debt by the bank relative to asset size: Total Debt (DLTT + DLC) divided by Total Assets (AT).	Bank Compustat
Previous FDIC actions	Number of actions against the bank by the FDIC during the previous election cycle.	FDIC
TARP	TARP is a binary variable set to one for the years 2008–2010 (during the Troubled Asset Relief Program) and zero for other years.	
Violations	Number of misconduct violations committed by the bank that were resolved by federal regulatory agencies and the Department of Justice.	Violation Tracker
Av. penalty (MM)	Average monetary penalty for violations committed by the bank during an election cycle.	Violation Tracker
Total penalties (MM)	Total monetary penalty for violations committed by the bank in an election cycle.	Violation Tracker
CRA rating	Average Community Reinvestment Act (CRA) rating of a bank during an election cycle.	FFIEC
Mergers & acquisitions	Number of mergers and acquisitions by a bank during an election cycle.	Chicago Fed
Share connected loans	Number of syndicated loans to politically connected firms as a share of all syndicated loans by a lead arranger, in an election cycle.	DealScan

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